4 - Feasibility Planning

Business Planning

4 - Feasibility Planning- (Business Planning

- *OBJECTIVES*

- 1. Discuss the concept of a planning paradigm for new ventures
- 2. Describe the four-stage growth model of entrepreneurship
- 3. Discuss the fundamentals of a good feasibility plan.
- 4. Explain the major components in a feasibility plan.
- 5. Explore planning responsibilities and ways in which entrepreneurs can get assistance.

INTRODUCTION

- Just as there are no absolute answers on how to succeed in business, there are no absolute answers on how to develop a successful new venture.
- There are no undisputed "models" of entrepreneurship, but there are similarities among the leading ones that suggest a *paradigm,* a general pattern of how to progress from an abstract idea to achieving sustained sales.
- This section provides a paradigm in which the sequence of activities starts with the initial idea and ends with an established enterprise positioned for growth.
- The model, or paradigm, encompasses a *feasibility plan*. This is a pragmatic business plan reflecting the philosophy that entrepreneurs should do the planning necessary to ensure the feasibility of a venture without becoming overwhelmed in the process.
- The planning outline presented here is a foundation for more detailed sections in the remainder of the syllabus.



THE CONCEPT OF A PLANNING PARADIGM

- Karl H. Vesper, a leading educator in the field, concludes that there are perhaps a half dozen leading models that describe the entrepreneurship process. He also notes that these models suggest more than a hundred different sequences for creating new ventures, each sequence having variations according to the unique characteristics of individual ventures.
- As a result, entrepreneurs can follow one paradigm only with the understanding that it provides a framework-not a mandate-for required activities. This point is illustrated by the experiences of two successful entrepreneurs who established their businesses through entirely different sequences of events

Electronic Data Systems Corporation

- Called the Cowboy Capitalist, R. Ross Perot, founder of Electronic Data Systems Corporation (EDS), may be one of this century's most unpredictable and successful entrepreneurs.
- Perot started EDS in 1962 with $1,000 and an idea for using computers as integrated systems. He envisioned computer terminals connected through telecommunication systems and information processing that could link operations instantaneously on a global basis.
- We take these things for granted today, but they were revolutionary in 1962, when critical technology such as integrated circuitry, microcomputers, and telecommunication software were years away from being developed. Nevertheless, Perot had the vision, and he created EDS to accomplish the *feat*.

Electronic Data Systems Corporation

- Planning was incremental, starting with systems designed for office use, expanding to factory controls, then to company-wide integration.

- Perot hired the best designers and planners possible, established a remarkable market research team, and focused EDS always on possibilities five or ten years into the future.

- Perot relied on instinct but made informed decisions based on astute strategic plans developed by his staff- As a result, EDS was compared to a tank that could be put into low gear and roll over anything.

- The company was sold to General Motors in 1984, but Perot is doing it all again with Perot Systems, and looking into the next century as a planning horizon.

DELL COMPUTERS

- In contrast to Perot, Michael Dell began as a premed undergraduate student who, at the age of 20, turned a hunch into the quarter-billion-dollar Dell Computer Corporation.

- The hunch came to him while working part-time selling IBM PCs near his campus. Through his job, he discovered the huge price markups on computers, and he was convinced that the world was ready for a low-cost "clone" of the IBM PC.

- To test his idea, he assembled his own PC in his apartment from parts purchased by mail order. It worked, and the total cost was well under $1,000, so he made a few more to sell to friends.

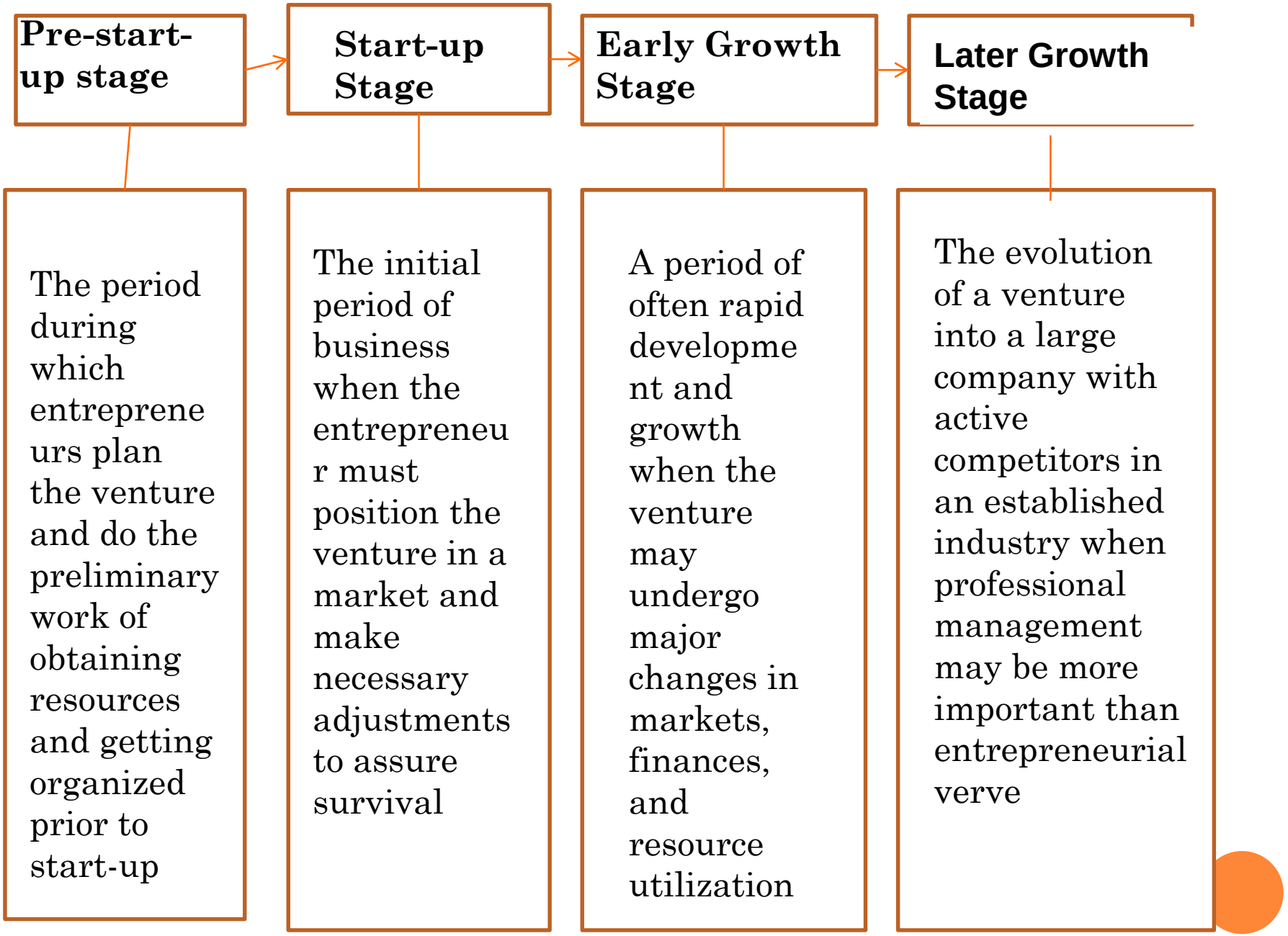
DELL COMPUTERS

- The hunch turned into a business, and he called his system the PC Limited. Word spread about Dell's computers, and he began taking orders over the phone. Demand was extraordinary, and his apartment-based business soon turned into a direct sales organization.
- Planning evolved only as sales growth pushed Dell to make decisions, but his success formula was entrenched by circumstances; build a clone computer at the lowest cost possible and market it directly through an army of salespeople with telephones.
- Planning became essential to establish purchasing systems and a nationwide distribution system, but planning was done reluctantly process. Nevertheless, it was accomplished by dedicated staff, and the corporation expanded to more than $200 million in sales.
- Although many of his ideas changed as the business evolved, Dell retained the core strategy of direct sales and low-cost clones.

THE FOUR-STAGE GROWTH MODEL

- The four-stage growth model consists of categories of distinct activities essential for a new venture to progress from an idea to a substantial enterprise.
- The four are
  - *pre-start-up,*
  - *start-up,*
  - *early growth,*
  - and *later growth* stages.
  - Figure 4-1 summarizes activities related to each stage.




Pre-start-up stage
Start-up Stage
Early Growth Stage
Later Growth Stage
The period during which entrepreneurs plan the venture and do the preliminary work of obtaining resources and getting organized prior to start-up
The initial period of business when the entrepreneur must position the venture in a market and make necessary adjustments to assure survival
A period of often rapid development and growth when the venture may undergo major changes in markets, finances, and resource utilization
The evolution of a venture into a large company with active competitors in an established industry when professional management may be more important than entrepreneurial verve

Business concept defined	What is the purpose of the venture? What does the entrepreneur want to accomplish with the business?
Product-market study	Product research: Is the product or service feasible? Realistic? Market research: Who will buy? Where are they? What niche? What competitors exist?
Financial planning	Financial projections: What cash is needed? How will income be generated? What expenses are expected? What is invested? Borrowed? What is needed to meet operating requirements?
Pre-start-up implementation	Getting ready to start: The entrepreneur must find resources purchase beginning inventory, hire those needed at start-up, and obtain necessary licenses, permits$_1$ leases, facilities, and equipment.



MARKETING RESEARCH AND ANALYSIS

Identify potential customers

Demographic profile of customers
Characteristics of customers, age, sex, income, etc.
Buying habits and relevant information for new venture

Evaluate markets

Future markets and trends or changes
Window of business opportunity
Niche position information

Analyze competitors

Existing competitors with similar products or services
Future competitors and ease of entry
Industry structure

Describe assumptions

Market niche for positioning firm Pricing approach used in plan
Distribution or method of making a market

START-UP OPERATING OBJECTIVES

Sales -To attain monthly sales volume as projected at prices projected in feasibility plan.

- To achieve projected sales mix of products and services as summarized in feasibility plan.

Revenue - To achieve cash flow within budget based on sale volume and price projections.

- To meet targets above variable costs with appropriate operating margins.

Growth - To realize incremental growth within seasonal pattern of forecasts.

- To maintain balance of growth with ability to underwrite inventory, materials, and human resources.

Position - To solidify a long-term position in appropriate markets as a result of adaptation during start-up.

- To identify market strategy for niches or opportunities in new products, services, or markets during start-up.

Exhibit 4.2 Eight Common Elements in a Feasibility Plan

Executive summary	Venture defined, products or services identified, market characteristics summarized, founders introduced, and financial structure profiled
Business concept	Purpose of the venture and the major objectives of its founders; description of the distinct competency of the firm
Product or service	Function and nature of products and services, proprietary interests, attributes, and technical profile
Market research and analysis	Customer scenario, markets, venture's niche, industry structure, expected competition, and sales forecast
Market plan	Market strategy to compete, pricing, promotion, distribution, service and warranties, and sales leadership
Manufacturing or operations	Facilities, location, inventory and materials needed, human resources, operational processes, technology, security, insurance, and safety
Entrepreneurial team	Profile of founders, key personnel, investors, and management roles
Financial documentation	Financial statements for income and expenses, cash flow, assets and liabilities, break-even projections, and start-up underwriting needed

Venture Defined.

- The company must be identified to include when it was formed, by whom, and for what purpose.
- The most important requirement is to explain the *purpose* of the new venture.
- For example, a venture's purpose can be described as manufacturing microelectronics, merchandising women's clothes, or publishing children's books.
- In each instance, the entrepreneur should briefly extend, the definition to explain how the enterprise is unique.

- Mrs. Fields Cookies, for example, could be described as a chain of confectionery shops, but that description would be superficial. Elaboration is needed to explain the business concept of selling high-quality cookies made from a proprietary recipe. Similarly, a women's clothing store could be described as an up market boutique merchandising petite-sized fashions.

- The definition should also include its legal formation, identifying it as a corporation, partnership, sole proprietorship, or other form of business.

Product or Service

- The entrepreneur must describe clearly what will be sold.
- If there is a proprietary interest (patent, trademark, or copyright), this fact should be stated.
- The executive summary should briefly describe how far the entrepreneur has gone to develop the product or service.
- For example, a new product may be in the research stage, design stage, prototype stage, or advanced engineering stage with limited production.
- Most services are described in terms of customer value. An advertising agency, for instance, might be described as providing mass media promotional programs for professional sports teams.

- Products and services should also be described in terms of quality image, pricing, and distinguishing characteristics that might demonstrate a ***distinctive competency***. For example, a business formed to provide computer software training is not distinctive, but a business designed to provide "computer-based retail inventory control training" indicates specific services that can be evaluated

Entrepreneurial Team

- An entrepreneurial team may include only the founding entrepreneur, but usually there are other key personnel essential for the firm's success.
- These individuals must be identified, and their skills and talents must be adequately described. If the business requires individuals with unique qualifications, these should be emphasized.
- For example, a restaurant may require a chef skilled in preparing certain type of food, or a health club may require an experienced certified aerobics instructor.

- The executive summary emphasizes strengths of team members and their qualifications, but **without "hype**." Exaggerations permanently undermine the entrepreneur's credibility, and no matter how exciting the product or service, investors look first to the character and ability of the entrepreneur.

Business Description

- Following the executive summary, the plan will provide detailed sections on each major topic. The first section is a thorough description of the business.
- Essentially the same points covered in the executive summary are covered here, but they are covered in far greater detail. For example, rather than simply naming the business and the reasons for which it was founded, the entrepreneur should carefully describe evolutionary steps that led to the business formation.
- It is not unusual to find that a proposed enterprise evolved from an earlier business or from the efforts of an individual who has been working on an innovative product for years.



Business Description

- An interesting example is Wilson Greatbatch, the inventor of the Pacemaker. He had worked alone in his garage for several years engineering the Pacemaker, and, initially, he attempted to do his own marketing. However, he was shunned and ridiculed by doctors until he collaborated with a New York cardiologist who formed a team of specialists to further develop the Pacemaker.
- The enterprise that evolved was based on the team and its research, not solely on Wilson Greatbatch's invention.
- Greatbatch established another, separate business that evolved from the Pacemaker research. His venture manufactured an innovative line of batteries required to power Pacemakers.
- Without having a complete background on the Pacemaker's development, an investor would have only a superficial idea of the importance of Wilson Greatbatch's battery-manufacturing enterprise.

Business Description

- An important area to address is the *nature of market demand*. Is the firm responding to an established demand, or is it trying to establish a new product or service in untested markets?

- The entrepreneur also needs to explain the *nature of the business* by clearly defining how the firm will operate and what the founders intend to accomplish.

- Finally, a firm's *technological profile* should be explained. This may include a description of equipment such as robotic manufacturing. It may require a description of wholesale networks. It may even require an explanation of foreign licensing agreements. For example, toy makers who import inventory manufactured in Taiwan or Singapore should identify import-licensing arrangements that are vital for the business to succeed.

Products or Services

- An obvious requirement of every plan is to explain the *product or service concept*.
- Before we examine this, however, it is important to recognize that planning models do not consistently place this topic immediately after the "business description.
- A slight majority of business plans treat market issues before providing details of the product or service, but those models require a thorough description of the product or service in both the executive-summary and the business-description sections.
- For an easily defined concept, such as a specialty clothing store, a brief description early in the plan may suffice.
- As a general rule, the plan must provide an accurate description of a product or service before attempting to explain how it will be marketed.

Products or Services

- Essential information required to describe a product includes distinctive characteristics of the product itself, how it works (or is used), materials, costs, methods of manufacturing, proprietary protection (patents, trademarks, or copyrights), and potential competing (substitute) products.

- Most new products also will require validated testing, and many will require approval by regulatory agencies. If the product is a new dental instrument, for example, it will have to be approved by the. Food and Drug Administration (FDA) and the Ghana Standards Board.

- Most services must have licensed owners or employees (cosmetologists, securities brokers, CPAs, real estate brokers, and so on). Restaurants and medical testing laboratories often have to meet health and safety requirements.

- Day-care centers, preschools, and counseling centers are required to meet educational credential standards and to comply with national and local regulations.

Products or Services

- An important part of this section is to describe how a business is *staged* during the start-up and early growth periods.

- Staging refers to the manner in which products or services will be introduced. It also explains diversification plans and prospects for incremental growth



Manufacturing or Operations Plan

- Depending on the nature of the business, a manufacturing or operations plan may not be required.
- Many small businesses that offer personal services will have little to say about operations and nothing to say about manufacturing.
- For ventures that manufacture, design, or sell products, as well as for service firms that require capital equipment, this section is important.
- Figure 4-7 illustrates elements of the manufacturing or operations plan.

Facilities

- Purchase or lease
- Renovations
- Equipment and technology
- Parking and transport
- Legal and zoning issues



Inventory

- Opening inventory
- Purchasing system
- Subcontracting
- Inventory management
- Supplies and support

Human resources

- Operating personnel
- Skill requirements
- Supervision
- Service and support
- Unusual requirements

Operations

- Research and development
- Manufacturing process
- Service structure
- Quality control
- Safety and maintenance

Other issues

- Insurance
- Legal protection
- Patents, copyrights and trademarks
- Security systems



Leadership - The Entrepreneurial Team

- Recall an earlier comment that Investors put greater emphasis on the entrepreneurial team than on the business concept. This has become an axiom common among venture capitalists who will buy into an "A team with a B product" faster than they will buy into a B team with an A product.

- Consequently, entrepreneurs must take care to profile the entrepreneurial team honestly but effectively.



Leadership - The Entrepreneurial Team

- They should emphasize team members' strengths, past successes, and positive characteristics, and they should include brief résumé's of the principals.

- Each person's role in the new venture should be described briefly, including board members or investors who may not be involved directly in operations yet be able to influence decisions.

